

Include Salary Sacrifice NI Saving as Pension Top Up in Budget Forecast

User Guide

CoreHR Limited Distribution

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1. Overview

The purpose of the document is to highlight the changes made to Core Budget for the inclusion of salary sacrifice saving as a pension Top Up.

2. Configuration

The existing configuration process for Salary Sacrifice NI saving as an Employee Pension top up is also used for this.

Configuration is processed in CorePay.

2.1. Reference > Pay Code

2.1.1. Salary Sacrifice Pay Code

The pay codes used must be identified as a salary sacrifice pay code. This identifies the elements on which the NI saving is to be calculated.

2.1.2. Salary Sacrifice Pension Scheme

The Salary Sacrifice Saving Pension scheme must be recorded against the pay code. This is the pension scheme the Pension Top up will be output against.

Maintain Pay Codes
Pay Code: 3000 Description: SALARY SACRIFICE

General Allowances/Payments Deductions CSO Client Specific Allowances Client Specific Deductions

Allowances

Analysis				Taxable Redundancy	☐	Exclude Estimates	☐
Absence Code				Backdate PRDable Pay Code	☐	Children Allowance	☐
Special Leave Pay Code				Foregoing Revenue Limit	☐	APTH Indicator	☐
OT Premium Pay Code				Proportion Allowance	☐	Sick Pay	☐
Project Expense				Client Specific Ind.	☐	Accrual	☐
Location				Credit Allowance	☐	Disallowed Code	☐
Subhead				Offset Days	☐	Hide Payslip Hours	☐
Classification				Basic Percent	☐	Exclusion Ind.	☐
HRA Value Code				Substitution Ind.	☐	Higher Duty	☐

Ledger Posting: [] Sundry Indicator: [] SSS Pension Scheme: 5030
Accrual Type: [] Age Limit: [] Project Ledger Posting: []
Pay Code Type: [] Allowance Group Ind.: [] Union Code: []
Uniform Type: [] Claim Frequency: [] Environment Allowance: []
Average Holiday Element: [] House Loan Interest Code: [] Qualification Allowance: []
Assignment Code: [] Mutually Exclusive: [] Term Time Process: []
Reducing Balance Code: [] Forecasting Field: [] Acc. SW. Entitlement: []

Basic Percent
Substitution Ind.: []
Salary Sacrifice ☒
SSS Pension Scheme: 5030
Project Ledger Posting: []
Union Code: []

2.2. Reference > Pension Scheme

2.2.1. Salary Sacrifice Savings Pay Code

A 'Salary Sacrifice Savings' pay code must be assigned. This is the pay code that the saving top up is output against.

2.2.2. Salary Sacrifice Savings Contribution %

A salary sacrifice saving contribution % must be assigned. This is the % of the saving that is passed on as an ER Top Up. Note: The Default salary sacrifice percent is 100 is left null.

Employee Pay Codes		
Deduction 1	5000	EMPLOYEE PENSION (INCL 20% TR)
Deduction 2	5000	EMPLOYEE PENSION (INCL 20% TR)
Deduction 3	5000	EMPLOYEE PENSION (INCL 20% TR)
Pre-tax Adjustment	5000	EMPLOYEE PENSION (INCL 20% TR)
Pre-tax AVC	5000	EMPLOYEE PENSION (INCL 20% TR)

Employer Pay Codes		
Adjustment	9301	ER PENSION (SALARY SACRIFICE)
Deduction	9301	ER PENSION (SALARY SACRIFICE)
SS Savings Pay Code	9301	ER PENSION (SALARY SACRIFICE)
SS Saving Contribution %	100.00	

3. Forecast Changes

Once all configuration has been set, the pension figure calculated in the forecast is now inclusive of the NI saving from the salary sacrifice.

Person	Name	Salary	NI	App Levy	Employer Pension	Annual Allowance	Additional Cost	Expenses	Total
000576	Rr1016 Six	0.00	0.00	0.00	0.00	120.00	0.00	0.00	0.00
000577	Rr1016 Seven	2,000.00	0.00	0.00	0.00	0.00	-400.00	0.00	0.00
000577	Rr1016 Seven	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
000577	Rr1016 Seven	0.00	0.00	0.00	0.00	120.00	0.00	0.00	0.00
000578	Rr1016 Eight	2,000.00	0.00	0.00	0.00	0.00	-400.00	0.00	0.00
000578	Rr1016 Eight	0.00	0.00	0.00	0.00	0.00	1,600.00	0.00	0.00
000578	Rr1016 Eight	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
000578	Rr1016 Eight	0.00	0.00	0.00	0.00	147.60	0.00	0.00	0.00
000578	Rr1016 Eight	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
000578	Rr1016 Eight	0.00	0.00	0.00	0.00	147.60	0.00	0.00	0.00
000578	Rr1016 Eight	0.00	171.12	0.00	0.00	0.00	0.00	0.00	0.00
000578	Rr1016 Eight	0.00	171.12	0.00	0.00	0.00	0.00	0.00	0.00
000579	Rr1016 Nine	2,000.00	0.00	0.00	0.00	0.00	-400.00	0.00	0.00
000579	Rr1016 Nine	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
000579	Rr1016 Nine	0.00	0.00	0.00	175.20	0.00	0.00	0.00	0.00
000579	Rr1016 Nine	0.00	124.20	0.00	0.00	0.00	0.00	0.00	0.00
000580	Rr1016 Ten	2,000.00	0.00	0.00	0.00	0.00	-400.00	0.00	0.00
000580	Rr1016 Ten	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
000580	Rr1016 Ten	0.00	0.00	0.00	120.00	0.00	0.00	0.00	0.00
000580	Rr1016 Ten	0.00	124.20	0.00	0.00	0.00	0.00	0.00	0.00



Note:

Adding ER NI saving to EE contribution for salary sacrifice pension schemes was introduced in v24. The change in v26 is to enable Core Budget to report on this as well.

3.1. Sample Scenario

As a reminder of how the ER NI saving is calculated if the configuration is enabled is as follows:

The Employers NI Saving is allocated as follows.

For this example, we will use an Employee with NI category A and Earnings above ST

	Pay Element	Calculation	Value
A	Basic Salary		£5000
B	Gross Pay	A - E	£4875
C	Employers Pension @ 4.5%	A *4.5%	£225
D	Employers NI Saving	(A - B)* 13.8%	£17.25

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		(13.8% based on set Rate % for NI Category A)	
E	Employee Salary Sacrifice Pension @ 2.5%	A * 2.5%	£125
	Overall ER Pension Contribution	C + D	£242.25